

DAILY NEED TO KNOW

Tuesday, 28 July 2026 · Pre-market brief for Anne Wong
Covering the Monday 27 July 2026 US session + overnight. All times GMT+8 (HKT).
Edition: FULL — Hedgeye logged-in edition (live risk ranges & Quads).

1 Market snapshot (Mon 27 Jul close)

Asset	Last	Change	Note
S&P 500	7,413.18	◆ +1.20 / +0.02%	Broke a 4-session losing streak but faded a +0.9% opening pop; inside 7,385–7,599
Nasdaq Composite	24,932.08	▼ -43.74 / -0.18%	China chip shock; sits just 0.5% above the 24,819 BEARISH floor
Dow Jones	52,210.08	▲ +262.83 / +0.51%	Second straight gain — cheap oil, staples and financials
Russell 2000	2,948.03	▲ +18.04 / +0.62%	Best of the majors; inside 2,922–3,000 bullish
US 2Y yield	~4.30%	▼ ≈ -3 bp	~70bp above Fed Funds — the front end is doing the Fed's talking
US 10Y yield	4.647%	▼ -3.2 bp	Inside the 4.55–4.71% bullish range into Wednesday's FOMC
US 30Y yield	5.134%	▼ -2.6 bp	Still north of 5%; DM sovereigns at multi-decade highs
Gold (Aug)	\$4,076.0	◆ +0.1%	NOW \$4,056.80 (-0.5%) o/n; bearish TREND, only 34% of its 52-wk band
Silver (Sep)	\$58.62	◆ -0.2%	Bearish TREND, mid-range of \$54–\$61
WTI crude	\$82.61	▼ -\$6.70 / -7.5%	Lowest settle since 16 Jul; NOW \$81.75 (-1.0%) o/n
Brent crude	\$88.36	▼ -\$8.42 / -8.7%	Biggest one-day drop since April; NOW \$87.70 o/n
Bitcoin	~\$63,800	▼ -1.3% o/n	Ceasefire trade fading; ETH ~\$1,925
US Dollar (DXY)	101.535	▲ +0.07%	CLOSED ABOVE the 101.51 top of a bullish range
VIX	18.67	▲ +0.09 / +0.48%	Range 15.12–19.40; VXN 28.65 — Nasdaq vol ~10pts above index vol
Oil vol (OVX)	60.62	▼ -10.85%	From 68 Friday — the war premium is bleeding out of options

Colour key: ▲ up ▼ down ◆ neutral/mixed ► little changed. A rise in yields or VIX is not necessarily good. o/n = overnight electronic trade, ~07:15 GMT+8 Tue.

TL;DR: Monday was a two-track tape again, but the tracks swapped drivers. The US–Iran strike pause held into a third night and crude broke hard — **Brent -8.7% to \$88.36, WTI -7.5% to \$82.61**, the biggest one-day drop since April — which lifted the **Dow +0.51% to 52,210** and Russell +0.62%. But the Nasdaq still closed -0.18%, because China landed **two separate semiconductor shocks in one session**: CXMT's Shanghai debut (+466%, ~\$490bn cap, instantly China's most valuable listed company) and reports that a state-backed consortium has begun producing domestic immersion DUV lithography. ASML -8.4%, SanDisk -11%, **Nvidia -4.99% — its worst day since February** — and **Apple ended the session as the world's most valuable company**, passing Nvidia. The S&P gave back a +0.9% opening pop to close +0.02%. Hedgeye keeps Quad 3 intact, upgraded HYG to neutral, and points at the front end: hike odds ~40% into Wednesday with the 2Y ~70bp above Fed Funds.

Today's actionable levels — what to watch

- ◆ **S&P 500: 7,413** vs a Hedgeye range of **7,385–7,599 (bullish)**. The floor was RAISED 7,355→7,385 — only 28 points (0.4%) below spot. Futures indicate a flat-to-soft open, so this line gets tested early.
- ▼ **Nasdaq: 24,932** vs **24,819–25,808, still BEARISH TREND**. The index is only **113 points — 0.45% — above its floor**, the tightest it has sat to the low end all month. A break there is the regime event, not the headline.
- ▲ **US Dollar (DXY): 101.535** vs **100.46–101.51 (bullish)** — it closed marginally ABOVE the range top. A dollar breakout into a no-forward-guidance FOMC is the under-owned risk in this tape.
- ▼ **WTI: \$81.8** (still slipping overnight) vs **\$80.20–\$92.18, bullish TREND. \$80.20 is the line** — below it the Quad 3 reflation engine stalls. OVX -10.9% to 60.6 says the panic bid in oil vol is unwinding fast; positioning was never long (CFTC net length 153.5k, below every average).
- ◆ **VIX: 18.67** vs **15.12–19.40 (bearish)** — 0.73 from the flip. But **VXN is 28.65**: Nasdaq vol is priced ~10 points above index vol into four Mag7 prints. Dispersion, not direction.

2 The big picture — what it means

- The oil trade broke, and it broke the right way for the Fed — six weeks too late.** Brent -8.7% and WTI -7.5% is the largest single-day unwind of the war premium since April, and OVX collapsed 10.9% to 60.6 from 68. But the physical story has not changed: **fewer than 10 commodity vessels transited Hormuz on Monday against ~100/day pre-war**. This is a pause priced as a peace. Trump called the talks “very friendly” with a “good chance” of a deal; Iran's foreign ministry said flatly that it “currently has no negotiations with the United States” and rejected an American proposal. One headline reverses the entire move.
- China cracked two chokepoints on the same day.** CXMT — the world's #4 DRAM maker at ~8% share — listed in Shanghai up **466%** to a ~\$490bn valuation, making it China's most valuable listed company, with Apple reportedly testing its DRAM. Separately, a state-backed consortium (Shanghai Yuliangsheng, SiCarrier, Huawei) is reported to have begun producing **domestic immersion DUV lithography**, targeting ~5 machines in 2026 and 20 in 2027. China is ~20% of ASML's 2026 revenue. ASML -8.4%, SanDisk -11%, AMD -6.8%, Lam -6.8%, Micron ~-5%. This is not a valuation story — it is a **terminal-market-share** story, and it lands 36 hours before SK Hynix reports.
- Stage three of the AI reckoning is about financing, not spending.** Stage one punished the spenders; stage two sold even good results. Monday added the credit leg: **Nvidia's 5-year CDS blew out ~14bp to ~82bp — the largest one-day move since the contract began actively trading in November 2025** — on reports of up to \$250bn of guarantees for OpenAI data-centre access alongside a ~\$500bn SK Group project.

Jim Cramer publicly compared the circular financing to the dot-com bubble. And the market's verdict was unmistakable: **Apple, which rents AI capacity rather than building it, passed Nvidia as the world's most valuable company** (~\$4.94trn vs ~\$4.83trn). Capex discipline is now the premium factor.

4. Wednesday's Fed is a coin toss on stale data with no safety net. Hike odds have gone 16% → ~40% in a week, the 2Y sits ~70bp above Fed Funds with real yields at cycle highs, and Hedgeye's read is blunt: the last time the front end looked like this was into the 2021–22 cycle that delivered **more than 500bp of tightening**. Warsh has abolished forward guidance and there is **no dot plot** — the presser at 02:30 GMT+8 Thursday is the only signal. The cruel part: June core PCE (Thursday) should show genuine cooling at ~3.3% y/y, but it **pre-dates** the July oil spike the Fed is actually worried about, which only shows up in late-August data.

3 Rates, currencies & commodities

- **Rates:** 10Y **4.647%** (−3.2bp; range 4.55–4.71% bullish); 2Y **~4.30%** after closing last week at 4.34% — roughly **70bp above Fed Funds**, with 2Y real yields at cycle and multi-year highs; 30Y **5.134%**. **2s10s at 35bp**, flatter by 2bp on the week. **MOVE 76.82 (+8.4%)**. Global sovereign yields have broken out to Bullish TREND, DM at multi-decade highs. Credit is the improving piece: **HYG upgraded bearish → NEUTRAL** (79.00–79.68), LQD still bearish.
- **US Dollar:** DXY **101.535 (+0.07%)** after +0.7% last week — and now **fractionally above the 101.51 range top**. EUR/USD **1.137** (bearish TREND, −0.6% last week); GBP/USD **1.329** (−0.9% last week); CHF −1.4%, NZD −0.9%, AUD −0.1% vs USD.
- **Yen — still the sleeper:** USD/JPY **163.73**, essentially unchanged on a day when oil fell 9% and yields fell — a yen that will not rally on good news is a yen with a structural problem. The **40Y JGB sits at ~4.01%** (+29bp MTD) on Takaichi's food-levy suspension, and the MoF has already burned a record **¥11.7trn (~\$73bn)** on intervention this cycle. **BoJ decision + Outlook Report Friday**.
- **Oil:** WTI **\$82.61** / Brent **\$88.36** settles (−7.5% / −8.7%), the lowest since 16–17 July, and both are still leaking overnight — **WTI \$81.75 (−1.0%), Brent \$87.70**. Both remain **bullish TREND** (WTI \$80.20–\$92.18). Second tailwind Monday: **Caspian Pipeline Consortium loadings resumed** on Russia's Black Sea coast. Note the positioning: **CFTC crude net length is 153,515 contracts — below the 3M (213k), 6M (235k) and 1Y (183k) averages**. The futures crowd never chased the +29% MTD move, which cuts both ways.
- **Metals & the Quad 3 mix:** Gold **\$4,076 (+0.1%, \$4,056.80 overnight)** — bearish TREND \$3,963–\$4,162, and worth stating plainly: gold sits at just **34% of its 52-week band, ~27% below its \$5,586 January high**; silver **\$58.62** (\$54–\$61 bearish); copper **~\$6.34** (bullish, \$6.18–\$6.55). **Nat gas \$2.744 (−0.8%)** and −11.8% MTD — the tell that this was an **oil-specific supply/geopolitical shock, not broad energy demand**. CRB reflatd +3.6% last week to 395.67; corn +4.3%, soybeans +4.2%.

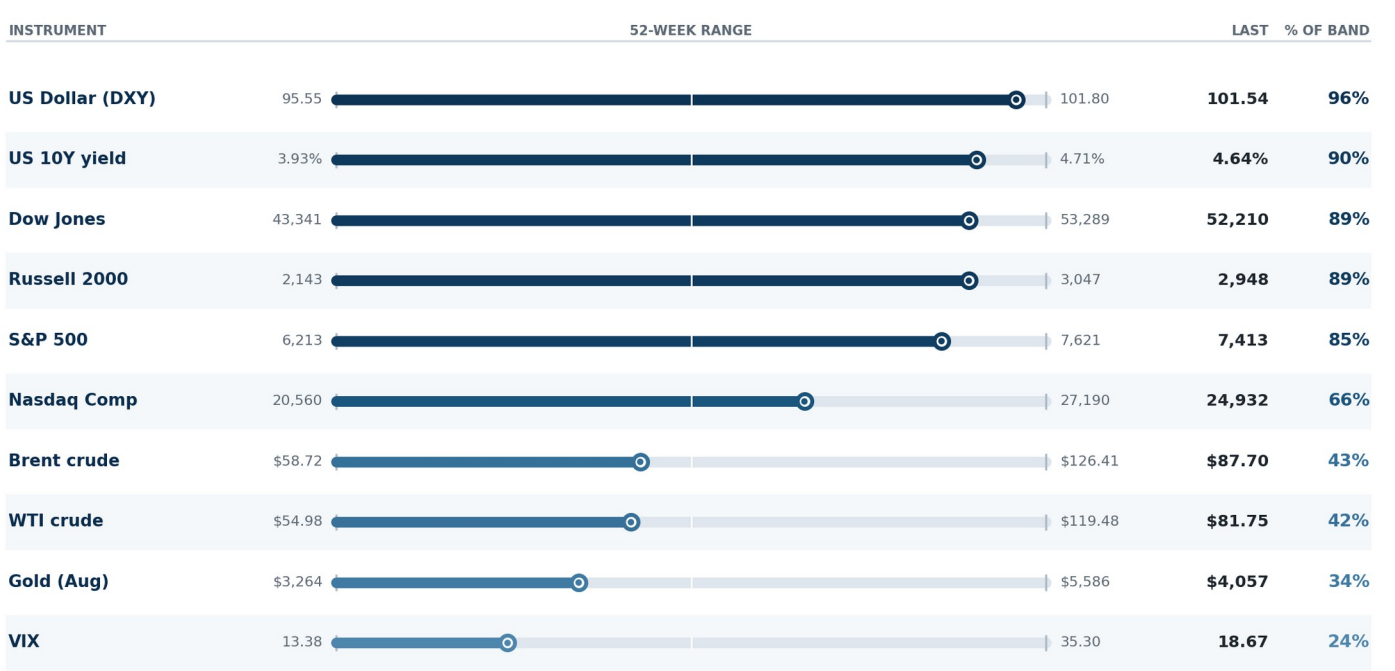
4 Hedgeye Risk Ranges & regime

Regime: Quad 3, intact. Monday's Early Look — “Walking the Tightrope” (Matthew Cooper) — leans on a Jack Nicklaus line about playing golf in the rain: accept the conditions and follow the Signal. **In Quad 3 stocks and bonds stop diversifying each other and oil is the switch that flips the sign on everything at once** — down together Thursday, up together Monday. Same regime, opposite sign. The backtested Quad 3 sector trio (**Utilities, Energy, REITs**) is the exact trio working: **XLE +12.3% MTD**, XLU +2.5% w/w, XLRE +4.4% MTD, against **XLK −7.7% MTD** and XLY −6.7% MTD. The de-rate is a factor event, not a tech event: **High Beta −5.2% over the last month vs Low Beta +3.7%; top-quartile EPS growth −4.1% vs bottom-quartile +3.5%**. With 133 of 497 S&P names in, blended earnings growth is **+69.8%** and Tech earnings growth **+189.7%** — and XLK is still down 7.7% on the month. **Good numbers are not the catalyst this season**. MOMO Tracker (27 Jul): **7 of 9 names, plus the Nasdaq/QQQ, are BEARISH TREND**; 8 of 9 risk ranges show upside > downside; four Bag7 prints in queue — all Bearish TREND except AAPL.

Instrument	Immediate-term risk range	TREND
S&P 500 (SPX)	7,385 – 7,599	Bullish
Nasdaq Composite (COMPQ)	24,819 – 25,808	Bearish
Russell 2000 (RUT)	2,922 – 3,000	Bullish
US 10Y yield	4.55 – 4.71%	Bullish
US Dollar (DXY)	100.46 – 101.51	Bullish
WTI crude	\$80.20 – \$92.18	Bullish
Nat gas	\$2.70 – \$2.99	Bearish
Gold	\$3,963 – \$4,162	Bearish
Silver	\$54 – \$61	Bearish
Copper	\$6.18 – \$6.55	Bullish
VIX	15.12 – 19.40	Bearish
HY credit (HYG)	79.00 – 79.68	Neutral
IG credit (LQD)	106.1 – 107.5	Bearish
Tech (XLK)	\$171 – \$183	Bearish
Health Care (XLV)	\$158 – \$165	Bullish
Utilities (XLU)	\$45.00 – \$46.91	Bullish
Real Estate (XLRE)	\$45.01 – \$46.44	Bullish

Signal changes vs Friday: HYG Bearish → NEUTRAL (the one genuine upgrade). SPX range lifted 7,355–7,537 → 7,385–7,599. COMPQ lowered 24,911–25,890 → 24,819–25,808 (still bearish). RUT raised 2,901–2,982 → 2,922–3,000. VIX lowered 15.67–19.94 → 15.12–19.40. WTI lowered 80.93–93.41 → 80.20–92.18. XLK ceiling cut \$185 → \$183. XLV, XLU and XLRE all raised. Monday's Early Look levels box did NOT publish USD/JPY, Brent, Nikkei, Shanghai or DAX ranges — those carried in the 27 Jul edition are not refreshed here.

Where price sits in its 52-week range



All bounds are exchange-confirmed 52-week highs and lows; “% of band” is where the last price sits between them. Depth of shading encodes position only — it does not imply good or bad. Reading it: the two things at the top of their 12-month bands are the DOLLAR (96%) and the 10-YEAR (90%), which is the tightening squeeze in one picture, and both are being asked to price a Fed with no forward guidance on Wednesday. The Dow and the Russell sit at 89% against the Nasdaq at 66% — that 23-point gap IS the dispersion trade. And the two commodities everyone has been trading on war headlines are mid-band: even with Hormuz shut, WTI (42%) and Brent (43%) never came close to their 12-month highs of \$119 and \$126. CORRECTION: gold sits at 34% of its band, NOT near its highs as the 27 Jul edition stated — the 52-week high is \$5,586 (29 Jan), and gold is roughly 27% below it. That is what Hedgeye’s bearish TREND has been describing.

5 Mag7 scoreboard (Mon 27 Jul)

Name	Last	Day	Cap	Read
Apple (AAPL)	\$336.99	▲ +1.19%	~\$4.94T	NOW THE WORLD'S MOST VALUABLE COMPANY. +24% YTD; lone Bag7 Bullish TREND; reports Thu
Nvidia (NVDA)	\$196.51	▼ -4.99%	~\$4.83T	Worst day since Feb-26; lost the #1 crown; 5Y CDS +14bp to ~82bp
Alphabet (GOOGL)	\$326.54	▲ +2.33%	~\$3.9T	Best Mag7 day; bounce continues off the ~7.1% capex shock
Microsoft (MSFT)	\$389.15	▲ +~2.0%	~\$2.9T	Reports Wed AMC; Azure growth vs capex discipline is THE question
Amazon (AMZN)	\$231.35	▼ -0.33%	~\$2.5T	Reports Thu AMC; AWS margin the key line; Bearish TREND
Meta (META)	\$593.32	▼ -0.31%	~\$1.5T	Reports Wed AMC; capex scrutiny; Bearish TREND
Tesla (TSLA)	\$308.56	▼ -1.43%	~\$1.0T	Still bleeding post-print; capex +142% y/y; Hedgeye: "Do NOT Buy"

Prices are Mon 27 Jul cash closes from a single consistent closing snapshot whose index values reconcile exactly to the official closes. Apple and Nvidia market caps are as reported; the remaining caps are derived and approximate. NOTE: several Mag7 levels carried in the 27 Jul edition were flagged approximations and ran materially high — this table re-bases them. Four of the seven report this week.

6 Positioning & options

- **The Fed is the crowded trade now, not oil.** Hike odds ran **16% → ~40% in a week** (Hedgeye’s Monday Early Look cited ~36%; its midday note ~40%), with September close to fully priced. The pain trade cuts both ways: a dovish hold hurts duration shorts, an actual hike hits everything long-duration — and with no dot plot and no forward guidance, the presser does all the work.
- **Oil positioning never got long.** CFTC crude net length **153,515 contracts**, below the 3M/6M/1Y averages, into a +29% MTD move. OVX has already given back 10.9% to 60.6. That is a market that was hedging, not speculating — which limits the forced-unwind risk on further de-escalation but leaves plenty of room to re-price higher on a failed-talks headline.
- **Vol is bifurcated.** VIX 18.67 sits 0.73 below its 19.40 regime line while **VXN is 28.65**. Roughly ten points of spread between index and Nasdaq vol, into MSFT/META Wednesday and AAPL/AMZN Thursday, is the cleanest expression of the dispersion regime.
- **Credit gave a small all-clear — except in AI.** HYG was upgraded to NEUTRAL, LQD stays bearish. But the credit event of the day was single-name: **Nvidia’s 5Y CDS +14bp to ~82bp, the largest daily move on record for the contract**, on the OpenAI guarantee reports. When the equity is flat and the CDS gaps, believe the CDS.
- **Crypto is no longer a clean ceasefire proxy.** BTC -1.3% to ~\$63.8k and ETH ~\$1,925 overnight, giving back the weekend pop. Hedgeye’s Crypto Quant has ETH/ETHA Bullish and BLOK Bearish, with ETF flows +\$135m w/w and an aggregate cost basis of \$82.7k — i.e. the average holder is still well underwater.

7 Sector rotation — leaders & laggards (Mon)

- **Leaders:** Consumer Staples **+1.58%**, Financials **+1.00%**, Consumer Discretionary **+0.77%**. Single names: SHOP **+11.5%** (best day in a year on an upgrade cluster — Morgan Stanley OW/\$192, Jefferies and Stifel to Buy), Baker Hughes **+8.8%** on an upbeat Q2 despite the crude collapse, Workday **+7.7%**, ServiceNow **+7.1%**, SAP **+7.4%**, Tyson **+6.4%**, Tyler Tech **+6.5%**, Gartner **+6.3%**.
- **Laggards:** Energy **-2.01%** (mechanical on crude — Coterra -8.6%), Technology **-0.97%**. The chip complex did the damage: **SanDisk -11.0%** (to \$1,278 after a +505% YTD run), Western Digital -7.3%, Lam -6.8%, AMD -6.8%, Teradyne -6.3%, Micron -5%, **Nvidia -5.0%**, Silicon Motion -9.8%, Ichor -9.5%, SK Hynix ADR -8.5%. Also weak: Dow Transports **-1.82%** and the Dow Utility Average **-1.32%**.
- **Rotation read:** "Sell chips, buy software" was the tape — enterprise software (NOW, WDAY, SAP, SHOP) and staples absorbed money leaving semis. That is a cleaner version of last week's move: the market is no longer just rotating out of AI capex, it is rotating out of **AI hardware supply** now that China's self-sufficiency timeline has visibly compressed. Note the tension with Hedgeye's signal stack: XLE is the MTD leader on price but was Monday's worst sector — Quad 3 leadership is a month-long fact, not a daily one.

8 Forward — futures & the week ahead

- **Futures (07:13 GMT+8):** S&P -0.05% (7,444.75), Nasdaq-100 -0.20% (28,133), Dow +0.03% (52,395), Russell -0.06% (2,958.3). On fair value the implied opens are modestly negative across the board — **no follow-through from Monday's oil relief**. Overnight: Brent \$87.70, WTI \$81.75 (-1.0%), gold \$4,056.80 (-0.5%), 10Y 4.637%, DXY 101.535.

Day	Key events (GMT+8)
Tue 28	FOMC 2-day meeting BEGINS. 20:30 US trade balance (Jun) + retail/wholesale inventories; 21:00 Case-Shiller; 22:00 Conference Board consumer confidence (cons ~100.5). Earnings: Coca-Cola, Boeing, UPS, Ford, Corning pre-open; PayPal, Visa, KLA, Enphase after the close.
Wed 29	★ 08:00 SK HYNIX Q2 call — the Asia tell, straight into the CXMT shock. MSFT + META report after the US close (Thu ~04:05 GMT+8); also Equinix, Qualcomm, ARM, Starbucks, Chipotle, Robinhood. P&G, UBS, AstraZeneca pre-open.
Thu 30	★ 02:00 FOMC DECISION; 02:30 Warsh press conference (no dot plot, no forward guidance). 20:30 Core PCE (Jun) + Q2 GDP advance + jobless claims. AAPL + AMZN after the US close (Fri ~04:30). BoJ 2-day meeting starts.
Fri 31	★ BoJ decision + quarterly Outlook Report (~11:00-12:00) — yen at 163.7 makes it live. 20:30 Employment Cost Index (Q2); 21:45 Chicago PMI; 22:00 UMich final. Exxon + Chevron pre-open. Month-end flows. China July Politburo readout expected in this window.

9 Corporate news

- **Apple passes Nvidia as the world's most valuable company** — ~\$4.94trn vs ~\$4.83trn, with AAPL +24% YTD against NVDA +4%. The narrative writes itself: Apple is being rewarded for renting AI capacity instead of building it, on the same day Nvidia's credit gapped on financing concerns.
- **CXMT lists in Shanghai +466%** to CNY 49 from a CNY 8.66 IPO price, raising \$8.6-9.8bn for a **~\$490bn market cap** — **China's most valuable listed company on day one**. World #4 in DRAM at ~8% share behind Samsung (36%), SK Hynix (29%) and Micron (24%); Apple is reportedly testing its DRAM.
- **Nvidia's credit blows out:** 5Y CDS +~14bp to ~82bp, the largest one-day move since the contract began trading actively in Nov-2025, after reports of up to **\$250bn of Nvidia guarantees for OpenAI** data-centre access plus a ~\$500bn SK Group AI-infrastructure project. Separately Nvidia took **4.5% of Naver for \$1bn** (Naver +8.4%).
- **Celestica (CLS) +4.3% into a big beat-and-raise:** Q2 revenue \$4.70bn and adj EPS \$2.54 (cons ~\$4.35bn / \$2.29), and **FY26 guidance lifted to \$19.0bn revenue and \$10.15 adj EPS** from \$17.0bn / \$8.75 a quarter ago. The AI-hardware assembler is still compounding while the chipmakers de-rate.
- **Nucor (NUE) Q2 after the close:** diluted EPS **\$5.04** GAAP / \$4.84 adj vs ~\$4.53 consensus, sales **\$10.40bn (+23% y/y)** vs \$10.15bn expected, beating its own guidance, with ~\$479m returned to shareholders. **ServiceNow +7.1%** on Q2 adj EPS \$0.90 / revenue \$3.99bn, subscription revenue +24.5% y/y and **AI ACV +40% q/q to over \$1bn**.
- **Also:** Shopify **+11.5%** on a cluster of upgrades (reports 5 Aug); Baker Hughes **+8.8%**; Tyson **+6.4%** after the USDA confirmed a phased reopening of southern cattle ports to Mexican imports from 24 Aug; **SpaceX (SPCX) has now lost the equivalent of a full Tesla in market cap** since its record June IPO, trading ~\$112-116 against a \$161 first-day close.

10 Macro data

- **US durable goods (Jun) badly missed — but the AI line didn't.** Headline **+0.3% m/m** to \$334.8bn against a **+2.5% consensus** (prior -4.0%); ex-transport +0.6%. The core, though: **nondefense capital goods ex-aircraft +0.8-0.9% m/m and +12.5% y/y** to \$85.1bn, with computers and electronic products **+3.1%**, up in nine of the last ten months. Weak headline, strong AI-driven capex core. **Correction to the 27 Jul edition: consensus was +2.5%, not ~+3.7%.**
- **Dallas Fed (Jul) firmed, with a hawkish sting.** General business activity **+1.3** (from 0.0), production 10.1 (from 4.1), new orders 6.4, company outlook 13.4 (+11 pts), uncertainty index down to 6.4 from 10.9. But **wages and benefits jumped to 30.8 from 25.8** — exactly the series a Fed weighing a hike will read twice.
- **Thursday's Core PCE is the number, and it is already stale.** The Cleveland Fed nowcast has June headline PCE **negative m/m / +3.65% y/y** and **core +0.19% m/m / +3.33% y/y**, down from May's +0.3% / +3.4%. Genuine cooling — but June pre-dates a July in which WTI rose ~37.5% between the 2nd and the 23rd. That inflation lands in late-August data. The Fed has to decide Wednesday knowing this.
- **Tariffs went live and nobody noticed.** Section 301 duties took effect Friday: **10%** (Canada, Mexico, India, UK) and **12.5%** (EU, Taiwan, Brazil) across ~60 partners covering **99.4% of US imports**, on a forced-labour rationale, replacing the IEEPA regime the Supreme Court struck down in February. The Liberty Justice Center — the team that won the IEEPA case — has already sued; Brazil calls them arbitrary and is heading to the WTO. Market reaction so far: essentially nil. **An unpriced, un-hedged repricing vector sitting under a Fed that has to forecast inflation.**

- **Europe is being pushed the same way.** The ECB held at 2.25% on 23 July with euro-area inflation at 2.8%, but Lagarde warned that prolonged elevated energy feeds second-round effects — and traders are now positioned for a **September ECB hike**. The same oil shock is turning both the Fed and the ECB hawkish at once.

11 Geopolitics

- **Third night of the pause — but there is no ceasefire.** The US halted its air campaign late Friday after 13 consecutive nights of strikes, with no formal announcement; Tehran suspended retaliation in response. This is a mutual, informal and **fully reversible** halt, not an agreement.
- **Washington and Tehran are describing different realities.** Trump on Monday: “very friendly negotiations,” a “good chance” of a deal, “plenty of time” — plus an explicit warning that strikes resume harder if talks fail, and a claim the US paused at Tehran's request. Iran's foreign ministry spokesman Baghaei: Iran “**currently has no negotiations with the United States**”; the only official track is with **Oman**, on Hormuz navigation. Deputy FM Gharibabadi says Iran made no request to continue and **rejected an American proposal**. US team: Vance, Kushner, Witkoff, Rubio.
- **The one number that matters: fewer than 10 commodity vessels transited Hormuz on Monday, against ~100/day pre-war.** The strait is still physically shut. Until transits normalise, the oil move is sentiment, not supply. Watch tanker counts, not press conferences.
- **The military read is that the campaign hit its ceiling.** CENTCOM commander Adm. Brad Cooper reportedly advised halting the Hormuz-area operation as being at the limit of effectiveness short of a new large-scale push, and Gen. Dan Caine privately warned of an **air-defence interceptor shortage** — which Trump publicly dismissed. That is a pause driven by capability as much as diplomacy, which makes its durability a genuine question.
- **Loose ends:** Houthis claimed weekend attacks on Aramco-linked facilities at Jizan and Yanbu (unconfirmed by Riyadh or Aramco); the Pakistan/China mediation push reported Friday has no confirmed update; and Trump said the US has now sold more than **\$13bn of Venezuelan oil** since Maduro's capture — another quiet supply variable.

12 Asia setup — today (Tue 28 Jul, pre-open)

Index	Mon 27 Jul close	Read
US futures	▼ modestly lower (NQ -0.2%)	No follow-through from the oil relief; implied opens negative on fair value
Nikkei 225	▲ 64,931.19 (+0.50%)	Cheap crude is a clean gift to the ultimate importer — but BoJ Friday, yen 163.7 and the 40Y at 4% cap the upside
Topix	▲ 4,066.07 (+1.37%)	Value and banks outperformed growth by a wide margin — the domestic version of the global factor trade
Kospi (Korea)	◆ 6,755.75 (+0.97%)	THE tell. Opened +1.7%, fell to -2.0%, closed +1.0% — a 3.8% round trip. Nvidia/Naver + SK deals vs the CXMT overhang; SK Hynix reports tomorrow
Hang Seng	▲ 25,207.18 (+0.98%)	Politburo readout expected this week is the catalyst
Shanghai / Shenzhen	▲ 3,858.25 (+1.15%) / +2.72%	CXMT euphoria and chip self-sufficiency — mainland semis are the one place this news is bullish
Taiwan (TWII)	▼ 43,634.19 (-0.05%)	Weakest tape in the region, still below its 60-dma (~44,036); TSMC unchanged at NT\$2,350 despite NT\$8.0bn of foreign buying
S&P/ASX 200	▲ 8,894 (+1.39%)	Broad relief bid outweighed the energy complex drag
Straits Times	▲ 5,620.24 (+0.57%)	Steady; regional risk-on with no idiosyncratic driver

Read: Asia had a strong Monday and gets an 8.7% cut in its energy bill — every major market in the region is a net oil importer. But the overnight handoff is flat-to-negative and the region now owns the AI-hardware problem directly: CXMT's debut is bullish for mainland semis and bearish for Korean and Taiwanese memory pricing power, while Nvidia's CDS blowout undercuts the Korea mega-deal euphoria. Kospi's 3.8% intraday round trip is the honest picture of that tension — and SK Hynix's print tomorrow morning resolves it. Brief lands ~07:30 GMT+8, pre-open; futures are indications, not cash.

13 AI watch

- **Stage three: the financing.** Stage one punished spenders, stage two sold good results, and Monday added credit — Nvidia's CDS +14bp to ~82bp on the OpenAI guarantee reports, its largest daily move on record. Cramer's dot-com comparison went mainstream the same day. **The market has moved from asking whether AI capex earns a return to asking who is on the hook if it doesn't.**
- **Capex discipline is now the premium factor.** Apple taking the market-cap crown from Nvidia is the single cleanest datapoint of the quarter: +24% YTD for the company that rents compute, +4% for the company that sells it. MSFT and META on Wednesday will be graded on restraint, not growth — and Hedgeye has every Bag7 name on Bearish TREND except AAPL.
- **China's self-sufficiency timeline just compressed — twice in one day.** CXMT's listing gives domestic DRAM a \$490bn cost of capital, and domestic immersion DUV production erodes the last enforceable chokepoint after EUV. Neither is an earnings event this quarter; both are terminal-value events. Watch **SK Hynix Wednesday** for the first management read — consensus looks for record revenue near KRW 84trn with Q2 operating profit alone exceeding all of FY25.
- **The memory trade is now genuinely two-sided.** SanDisk -11% off a +505% YTD run, Micron and WDC down 5–7%, and SK Hynix's ADR -8.5% — against Nanya +8.7% and Winbond +3.6% in Taipei. When the same news moves the sub-sector in both directions, the trend has stopped being a trend.

14 Beyond the markets

- **SpaceX has lost a Tesla.** Since June's record IPO — the largest in history, opening at \$150 and closing day one near \$161 for a valuation above \$2trn — SPCX has fallen to ~\$112–116. The market cap destroyed is roughly equal to the entire market capitalisation of Tesla. A newly index-relevant, high-beta name that trades on space policy headlines is now part of everyone's benchmark risk.

- **Orbital data centres are becoming a real capex line.** FCC filings now include StarCloud (88,000 satellites), Blue Origin (51,600) and Cowboy Space (20,000), following SpaceX's own orbital AI ambitions. Spectrum and debris regulation, not physics, will be the binding constraint. A Falcon Heavy launches NASA's Nancy Grace Roman Space Telescope this week.
- **Housing is the coiled spring under the front end.** Roughly half the country holds a sub-4% mortgage and will not trade it for a 6.5% one, which is why the **median first-time buyer has aged to about 40 — an all-time high**. But time is doing what the Fed won't: the share of loans above 6% has climbed from 7.3% in Q2-2022 to **22.1%**. Redfin has the country back at a buyer's market with inventory near 1.5m and prices around \$400k — and none of it converts until the mortgage rate cooperates. It is a one-factor model, and the factor is Wednesday.

15 Appendix — stock cards

Names in focus plus the top global names — last + day · market cap · valuation · next key date · one-line read. Prices are Mon 27 Jul cash closes unless flagged * (prior/approx/delayed). No charts.

US — movers & mega-caps

Apple (AAPL) \$336.99 ▲ +1.19% Cap ~\$4.94T Val P/E ~34* Next: Reports Thu 30 Jul Passed Nvidia to become the world's most valuable company. Rewarded for renting AI, not building it.	Nvidia (NVDA) \$196.51 ▼ -4.99% Cap ~\$4.83T Val P/E ~32* Next: Reports late Aug Worst day since Feb-26. Lost the crown; 5Y CDS +14bp to ~82bp on OpenAI guarantee reports.
Microsoft (MSFT) \$389.15 ▲ +~2.0% Cap ~\$2.9T Val P/E ~36* Next: Reports Wed 29 Jul Azure growth vs capex discipline. Bearish TREND into the biggest print of the week.	Alphabet (GOOGL) \$326.54 ▲ +2.33% Cap ~\$3.9T Val P/E ~24* Next: Reported 22 Jul Best Mag7 day. Still carrying the \$200bn capex and negative-FCF overhang.
Amazon (AMZN) \$231.35 ▼ -0.33% Cap ~\$2.5T Val P/E ~38* Next: Reports Thu 30 Jul AWS margin is the line that matters. Bearish TREND.	Meta (META) \$593.32 ▼ -0.31% Cap ~\$1.5T Val P/E ~26* Next: Reports Wed 29 Jul Bearish TREND; capex scrutiny into the print alongside MSFT.
Tesla (TSLA) \$308.56 ▼ -1.43% Cap ~\$1.0T Val rich Next: Reported 22 Jul Still bleeding post-print. Capex +142% y/y; Hedgeye: "Do NOT Buy".	SanDisk (SNDK) \$1,278.23 ▼ -11.02% Cap ~\$0.2T Val cyclical Next: Reports Aug The CXMT casualty. Round-tripping a +505% YTD run — memory pricing power is now contested.
AMD \$486.72 ▼ -6.75% Cap ~\$0.8T Val P/E rich Next: Reports early Aug Caught in the China self-sufficiency repricing alongside the equipment names.	Shopify (SHOP) \$126.88 ▲ +11.54% Cap ~\$165B Val P/E rich Next: Reports 5 Aug Best day in a year on an upgrade cluster — the "sell chips, buy software" trade in one name.

Europe — top names

ASML ~€1,600* ▼ -8.4% Cap ~\$620B* Val P/E ~55* Next: Reported ~21 Jul China begins domestic immersion DUV production. China is ~20% of 2026 revenue — this is the monopoly question.	SAP \$171.79 ▲ +7.4% Cap ~\$200B* Val P/E ~22* Next: Reported ~21 Jul The other side of the rotation — enterprise software absorbing money leaving semis.
Shell (SHEL) two-way* ▼ w/ crude Cap ~\$225B* Val P/E ~11* Next: Reports this wk Brent ~8.7% strips out the Hormuz premium; still the cleanest re-escalation hedge.	TotalEnergies (TTE) two-way* ▼ w/ crude Cap ~\$150B* Val P/E ~9* Next: Reports this wk Same trade as Shell; refined-product margins remain the tighter story.
Novo Nordisk (NVO) ~\$49* — Cap ~\$218B* Val P/E ~12* Next: Reports early Aug Cheap; GLP-1 competition still the overhang. Uncorrelated to the AI tape.	LVMH (MC.PA) n/a* — Cap ~\$350B* Val P/E ~22* Next: Reported recently Luxury bellwether; the China Politburo readout is the swing factor.

Asia ex-China — top names

SK Hynix (000660) +3.24% ▲ Mon Cap mega-cap Val cyclical Next: Reports Wed 29 Jul THE print of the Asia week. Consensus ~KRW84trn revenue; Q2 OP alone would exceed all of FY25. Now has to answer CXMT.	Samsung Elec (005930) +1.80% ▲ Mon Cap mega-cap Val P/E ~14* Next: Reports late Jul US mega-deal headlines vs a new domestic Chinese DRAM competitor with a \$490bn cost of capital.
TSMC (2330 / TSM) NT\$2,350 ► unch Cap ~\$1.9T* Val P/E ~27* Next: Reported 16 Jul Unchanged on a brutal day — relative strength. Overhang: reported China MOFCOM export-control review.	Naver (035420) KRW225,000 ▲ +8.43% Cap large-cap Val P/E ~30* Next: Reports Aug Nvidia took a 4.5% stake for \$1bn — the single cleanest winner from the Korea AI summit.
SoftBank (9984) ~¥5,331* ▼ — Cap large-cap Val NAV Next: Reports Aug The Tokyo AI-sentiment proxy. Highest beta in the region to the Nvidia credit story.	Sony (6758) n/a — Cap ~¥20T Val P/E ~20* Next: Reports Aug Games and imaging; steady. Yen at 163.7 remains a translation tailwind.

China — top names

CXMT (長鑫存儲) CNY 49 ▲ +466% Cap ~\$490B Val IPO debut Next: Listed 27 Jul China's most valuable listed company on day one. World #4 in DRAM at ~8% share; Apple reportedly testing its chips.	Alibaba (9988 / BABA) ~\$120* ▲ w/ HSI Cap ~\$274B* Val P/E ~18* Next: Reports mid-Aug Strongest China story on the Qwen AI re-rating; Politburo readout the near-term swing.
Baidu (9888 / BIDU)	Xiaomi (1810)

n/a*  Cap ~\$40B* Val P/E ~11* Next: Reports Aug AI and robotaxi optimism; policy remains the catalyst.	~HK\$26*  Cap ~HK\$660B* Val P/E ~30* Next: Reports Aug EV deliveries strong; off highs. Domestic-chip news is a modest positive for cost base.
BYD (1211) n/a*  Cap ~HK\$900B* Val P/E ~18* Next: Reports late Aug EV leader; delivery momentum the driver. Cheaper oil is a mild headwind to the EV switch.	Meituan (3690) n/a*  Cap ~HK\$800B* Val P/E ~20* Next: Reports Aug Local services; margin recovery watch. Pure stimulus beta.

Sources

Index closes & session narrative: AP wire, Motley Fool closing snapshot, Yahoo Finance, CNBC (27 Jul). Live cross-asset snapshot (futures, commodities, FX, Treasuries, sectors, vol): CNBC market data captured 07:13–07:25 GMT+8 Tue 28 Jul. Oil settles: Reuters via BOE Report / Rigzone. Risk ranges, TREND signals, Quads, MOMO & Crypto Quant: Hedgeye Early Look “Walking the Tightrope” (Matthew Cooper, 27 Jul 07:55 EDT), Hedgeye MOMO Tracker (27 Jul), Hedgeye “The Last Time Bonds Looked Like This, the Fed Hiked More Than 500 Basis Points” (Nate Gutierrez, 27 Jul) — logged-in FULL edition. Iran/Hormuz: CNN, CBS News, Bloomberg, ABC, Gulf News. Fed odds: CME FedWatch via Hedgeye/CNBC. Macro prints: US Census Bureau, Dallas Fed, Cleveland Fed nowcast. Tariffs: USTR coverage via Sheppard Mullin, Troutman, CNBC, CRFB. Asia: Korea JoongAng Daily, Seoul Economic Daily, Focus Taiwan, SCMP, Yuan Talks. China DUV/CXMT: Bloomberg, Reuters relays, LSEG.

Data-confidence

Mon 27 Jul US closes confirmed and cross-checked (AP / Yahoo / Motley Fool): S&P 7,413.18 (+0.02%), Nasdaq 24,932.08 (–0.18%), Dow 52,210.08 (+0.51%), Russell 2,948.03 (+0.62%), VIX 18.67. Live overnight quotes (futures, WTI, Brent, gold, silver, nat gas, DXY, FX, Treasuries, BTC) captured from a single consistent CNBC snapshot at ~07:13–07:25 GMT+8 Tue and move fast on Iran headlines — verify before acting. KNOWN CONFLICTS: Brent’s Monday settle is reported by Reuters at \$88.36 (–8.7%) but by AP at \$85.87 — Reuters is used here and is corroborated by the unchanged \$88.36 overnight print. Gold vendor prints span \$4,074–\$4,094 and –0.03% to +0.95%; silver spans \$58.4–\$59.7 — exchange futures are used. The 2Y yield is not confirmed by an official source (Fed H.15 had not published); ~4.30% is Hedgeye’s Monday-morning print against 4.33% from Trading Economics. Monday GICS sector percentages are CNBC’s S&P sector indices. MAG7 RE-BASING: several Mag7 levels in the 27 Jul edition were flagged approximations and ran materially high; this edition re-bases them to Monday’s confirmed closing snapshot, so day-on-day comparisons against that edition will not tie. Market caps other than AAPL (~\$4.94T) and NVDA (~\$4.83T) are derived and approximate; all P/Es and any figure marked * are approximations or prior-close. CORRECTIONS TO THE 27 JUL EDITION: (i) the June durable goods consensus was +2.5%, not ~+3.7%; (ii) the 52-week range panel now uses exchange-confirmed bounds rather than approximations, and several were materially wrong — most importantly GOLD, whose 52-week high is \$5,586.20 (29 Jan 2026), not \$4,167. Gold therefore sits at 34% of its band and is ~27% below its high, rather than “near highs (95%)” as previously printed. S&P (6,212.69–7,620.90), Nasdaq (20,560.17–27,190.21) and Dow (43,340.68–53,289.30) bounds are also revised. NOT CONFIRMED: Monday closes for Alibaba, Baidu, Xiaomi, BYD and Meituan; nat-gas Monday settle (CNBC live \$2.744 used); whether the China July Politburo meeting has convened (evidence says not yet); SK Hynix consensus operating margin of >75% looks extreme and is single-source. Monday’s Hedgeye Early Look did not publish USD/JPY, Brent, Nikkei, Shanghai or DAX ranges, so those are absent rather than unchanged. Brief generated ~07:30 GMT+8, pre-Asia-open; Tuesday Asia levels are futures and indications, not cash. This is the FULL Hedgeye edition (logged-in browser reachable).